

offering them prior-lien, fixed-interest obligations of the new company. But since 1931, the price of these three issues has been as low as 65, 60, and 53, respectively.

Other bonds, however, once regarded as underlying issues, have not fared so well following insolvency.

Example: Milwaukee, Sparta and Northwestern First 4s, due 1947, ranked as an underlying bond of the Chicago and North Western Railway, and for many years their price was not far below that of the premier Union Pacific First 4s, due the same year. Yet the receivership of the Chicago and North Western was followed by default of interest on this issue in 1935 and collapse of its price to the abysmal low of $8\frac{1}{8}$ as late as 1939.

From the foregoing it would appear that *in some cases* underlying bonds may be viewed as exceptions to our rule that a bond is not sound unless the company is sound. For the most part such bonds are owned by institutions or large investors. (The same observations may apply to certain first-mortgage bonds of operating subsidiaries of public-utility holding-company systems.)

In railroad bonds of this type, the location and strategic value of the mileage covered are of prime importance. First-mortgage bonds on nonessential and unprofitable parts of the system, referred to sometimes as “divisional liens,” are not true underlying bonds in the sense that we have just used the term. Divisional first liens on poorly located mileage may receive much less favorable treatment in a reorganization than blanket mortgage bonds ostensibly junior to them.

Example: Central Branch Union Pacific Railway First 4s, due 1938, were said to “underly” the Missouri Pacific First and Refunding mortgage, which provided for their retirement. Yet the reorganization plans presented to the end of 1939 all offered better treatment for the Missouri Pacific First and Refunding 5s than for the ostensibly senior Central Branch bonds.

As a practical matter it is not so easy to distinguish in advance between the underlying bonds that come through reorganization unscathed and those which suffer drastic treatment. Hence the ordinary investor may be well advised to leave such issues out of his calculations and stick to the rule that only strong companies have strong bonds.